

On Acer's R&D and new product lineups

We talk to Jerry Kao, Co-COO and President, IT Products Business to understand how Acer innovates to meet new market trends

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On the sidelines of Acer's annual GPC (Global Press Conference) called Next@Acer, we got the opportunity to speak to Jerry Kao, Co-Chief Operating Officer and President, IT Products Business; James K Lin, General Manager, Notebook; and Andrew Chuang, General Manager, Rugged Computing; about Acer's new product lines that were launched at the virtual event, their take on emerging technology trends and how Acer is incorporating the latest hardware innovations in order to meet market demands.

d In a 2018 Forbes interview, it was noted that Acer puts forth 1% of company revenue towards R&D. Has that changed since then? Also, which are the areas that Acer is focusing their R&D efforts?

Jerry Kao: At Acer, our R&D budget, in terms of revenue percentage, if you were to compare against other Taiwanese companies then we are not as much as them. This does not mean that Acer forgoes R&D but that our focus is channeled in a different way.

For our PC portfolio, for example, we have some special features which we are going to implement specifically for Acer and also across different ODMs, for those portions, our R&D will



Jerry Kao, Co-Chief Operating Officer and President, IT Products Business, Acer

jump in and take ownership. However, for general functions such as mechanical layouts, CAD layouts or those kinds of basic design decisions we rely on our partners. That's how we control our R&D spend to a certain level but that does not mean that our R&D isn't healthier. For example, one indication of how much R&D a company indulges in is to look at their patent portfolio.

Specifically for the patents, Acer is the second largest patent generator in Taiwan within the IT industry. So that represents how we look at R&D. Our R&D focus is actually more directed towards specific features, for example, we have the best thermal team in the PC field. We also have a great acoustic team, audio team and wireless connectivity team that works on all of our product lines.

Over the years, we have accumulated a lot of patents in these areas so in general, maybe in terms of percentage revenue, you might not see how important R&D is to Acer but the reality is that we have great R&D and our R&D focus is towards helping Acer a lot in terms of innovation.

d At previous GPCs, Acer has always announced a hero product unlike the others. A few years ago, it was the Acer Predator 21X, then came the Acer Predator Thronos. What would you say was this year's biggest launch?

Jerry Kao: We had several big launches this year but one thing worth mentioning is the anti-microbial coating that has been incorporated into several product lines. This is to reflect how the Covid-19 pandemic has changed things. We know that people's lifestyles will be changed. One very important thing with the devices that they'll be using is to make sure that they're safe. That's a reason why we're spending efforts in our notebook division. We had already started incorporating the antimicrobial coatings in our touch panels. Now, in addition to the touch panel, we have also enlarged the coverage area to include the keyboard, the touchpads and all the mechanical parts on the outside that the end-user might touch. We now have the antimicrobial solution for all of these to ensure that when you carry Acer's notebooks such as the Swift 5, it will be safe.

d One of the things that Acer has done successfully is to identify microtrends such as "gaming" and "creator" early on and focus on those to build a diverse portfolio of products. Are there any such new trends that Acer is focused on?

Jerry Kao: There are many such micro-trends but we are still under the process of exploring how to address them and design products so it's too early to disclose those at the moment. A new micro-trend we've observed is the need for more ruggedised devices which we're addressing with the new Enduro series which Andrew can talk more about.